

WEEKLY MARKETS SUMMARY

Week of August 17–21, 2026

Global Markets Analysis · Nomad Capital · August 2026

ARGENTINA EMBI —
WEEKLY CHG.**+52 bps**

Close 8/21: 532 bps · +20% in August

BITCOIN —
WEEKLY CHG.**+22.97%**

\$62,976 → \$77,439

GOLD (SPOT) —
WEEKLY CHG.**+6.66%**

\$4,380.40 → \$4,672.00

NASDAQ 100 —
WEEKLY CHG.**−2.45%**

30,046 → 29,309 pts

A week marked by an increasingly deep disconnect between global and Argentine sentiment, and by unprecedented tension between the U.S. Treasury and the Fed. Secretary Bessent doubled long-bond buybacks to contain yields, a direct intervention on the long end of the curve that effectively competes with the Fed's own policy stance: the FOMC minutes kept the September rate hike alive, with three dissenters in favor of raising rates in July, the largest such bloc since 2016. That desynchronization between the fiscal and monetary arms—two branches of the same government pushing the same curve in opposite directions—is what gold and Bitcoin began to arbitrage with double-digit gains during the week, no longer behaving as alternative hedges but converging on the same bet against confidence in fiat currency. Oil extended its second consecutive weekly gain on the unresolved Iran-U.S. war. In Argentina, the week was decidedly negative: country risk broke through 530 basis points, accumulating more than 20% in gains in just three weeks of August after thirteen consecutive sessions of sovereign bond declines, while the market stopped rewarding disinflation and started pricing in governability and electoral sustainability of the adjustment.

1. Timeline of the Week

WEEKLY TIMELINE

Mon 8/17

U.S. futures open the week mixed, with the Dow the weakest reference, while the Nikkei trades higher and Treasury yields ease. The dollar retreats and precious and industrial metals rise, in a session of mixed signals between developed and emerging markets. Washington and Tehran let the deadline for a broad deal to end the war lapse; Israel intensifies its strikes on Lebanon as the ceasefire with Iran nears expiration. The European Union prepares its harshest sanctions package on Russia for the fall. Japan grows less than expected in the second quarter, hit by the Middle East war. Warsh scales back the Fed's active guidance, dismantling much of the post-FOMC communication. The Argentine market remains closed for the San Martín holiday; the EMBI closes the prior Friday at 480 bps (+8 bps) and ADRs have fallen as much as 18% so far in August.

Tue 8/18

In continuity with the sharp downward revision from the prior week, the Atlanta Fed's GDPNow falls again to 4.0% (from 4.3% on 8/14), with private investment as the main driver of the revision (from 15.2% to 13.7%); the real-time growth slowdown is consolidating as a trend, not a one-off reading.

Wed 8/19

Argentina's country risk keeps climbing and closes at 511 bps (+22 bps). Argentine globals in Buenos Aires close lower: GD30D -1.03%, GD35D -1.84%, AL30D -1.36%. July wholesale inflation comes in at its lowest in 14 months (0.8%), but the market has stopped rewarding disinflation alone: while other high-risk emerging markets like Ecuador, Egypt, or Pakistan see their spreads compress, Argentina's moves in the opposite direction. The 30-year Treasury yield touches its highest level since 2007. Oil rises for a fourth consecutive day amid the intermittent blockade of the Strait of Hormuz. Trump pauses the 50% tariff on Canadian goods for three days after a last-minute deal. Saudi Arabia, Turkey, and Pakistan sign a new defense pact, the Mecca Agreement. U.S. debt approaches \$40 trillion, months ahead of Congress's projections.

Thu 8/20

The Fed's minutes confirm the September rate hike remains alive: three dissenters voted to raise rates in July, the largest such bloc since 2016.

Fri 8/21

Bessent doubles Treasury long-bond buybacks to contain yields —a direct intervention on the long end that clashes with the hawkish bias the minutes just confirmed—, while gold and Bitcoin rally sharply on devaluation fears. Oil is on track for its second consecutive weekly gain. A magnitude-7.2 earthquake strikes Peru, Colombia, and Venezuela. Japan accelerates toward another rate hike: core inflation accelerated for a second consecutive month. In Argentina, country risk tops 530 basis points and closes at 532 bps (+15 bps), accumulating more than 20% in gains in August after thirteen consecutive sessions of sovereign bond declines. The path of the 30-year Treasury yield —at its highest since 2007— stands out as the key variable to watch next week, as it is the most direct thermometer of whether Bessent's intervention succeeds in containing the long end or whether the pressure from the Fed's hawkish minutes ends up prevailing.

2. Weekly Asset Price Changes

Prior close: Friday 8/14. Reference close: Friday 8/21.

Asset	Close Fri 8/14	Close Fri 8/21	Weekly chg.
S&P 500	7,785.76	7,674.37	-1.43%
Nasdaq 100	30,046.14	29,308.86	-2.45%
Dow Jones	53,732.41	53,277.01	-0.85%
VIX	14.25	15.15	+6.32%
10-Yr UST	4.70%	4.74%	+4 bps
WTI (spot)	\$82.40	\$86.69	+5.21%
Gold (spot)	\$4,380.40	\$4,672.00	+6.66%
Bitcoin	\$62,975.59	\$77,438.60	+22.97%
EMBI Global (Argentina)	480 bps	532 bps*	+52 bps

Argentina local market	Close Fri 8/14	Close Fri 8/21	Weekly chg.
GD30D	\$0.5801	\$0.5701	-1.72%
GD35D	\$0.8089	\$0.7989	-1.24%
S&P Merval (ARS)	2,947,349.00	2,913,183.50	-1.16%
S&P Merval (USD MEP)	1,945.96	1,897.74	-2.48%
USD MEP (AL30)	\$1,514.60	\$1,535.08	+1.35%

* Argentina's EMBI reflects the last confirmed official close (Friday 8/21); JP Morgan publishes with a lag. The local market remained closed on Monday 8/17 for the San Martín holiday.

3. Key Drivers of the Week

KEY DRIVERS

Argentina's country risk decouples from its emerging market peers

Argentina's EMBI rose 52 basis points for the week to 532 bps, accumulating more than 20% in gains in just three weeks of August after thirteen consecutive sessions of sovereign bond declines. What stands out is that this happens at the same time as the lowest wholesale inflation in 14 months (0.8% in July) and while other high-risk emerging markets like Ecuador, Egypt, or Pakistan see their spreads compress. The market has stopped rewarding disinflation alone and started pricing in governability and electoral sustainability of the adjustment ahead of 2027.

Bessent directly intervenes on the long end of the Treasury curve, clashing with the Fed itself

The Treasury Secretary doubled the pace of long-bond buybacks during the week, in an explicit attempt to contain the 30-year yield, which had touched its highest level since 2007. The problem is one of coordination: the same week, the July FOMC minutes revealed that three members —the largest dissenting bloc since 2016— voted in favor of raising the policy rate, and the September hike formally remains on the table. Two arms of the same government are pushing the yield curve in opposite directions: one buying duration to lower the long-end yield, the other signaling a more restrictive short-term stance. When the Treasury and the central bank compete to set the price of the same curve, recent history suggests the adjustment ends up falling on the currency, not on rates — the read the market has already begun to make explicit through gold and crypto assets. The path of that 30-year yield next week will be the most direct signal of whether the intervention is working or whether the market keeps demanding a higher premium despite the Treasury's buybacks.

Gold and Bitcoin stop being alternative hedges and converge on the same bet

Both assets rallied simultaneously this week —gold +6.66%, Bitcoin +22.97%— exactly in the days when Bessent's intervention on the long end became known. The most widespread market read is that they stopped behaving as separate hedges and became the same trade against confidence in fiat currency. But there's an alternative read, and perhaps a more precise one, especially for Bitcoin's jump (+23% in five sessions): the market may be interpreting the Treasury's long-bond buybacks as the functional equivalent of QE, front-running an injection of liquidity that isn't actually happening. Repurchasing long bonds with Treasury cash doesn't expand the Fed's balance sheet or the monetary base the way quantitative easing does; it's a duration-management operation, not reserve creation. If that distinction becomes evident in the coming weeks and the abundant liquidity the market is pricing in fails to materialize, Bitcoin's rally looks more fragile than the "hedge against the dollar" narrative suggests.

Oil extends its second weekly gain on the unresolved Iran-U.S. war

WTI rose 5.21% for the week amid the intermittent blockade of the Strait of Hormuz and Washington's intensifying economic pressure on Tehran. Washington and Tehran let the deadline for a broad deal lapse, while Israel intensifies its strikes on Lebanon with the ceasefire with Iran close to expiring. Saudi Arabia, Turkey, and Pakistan signed a new regional defense pact, the Mecca Agreement, amid the escalation.

Argentina's silent deindustrialization, overshadowed by country risk

While country risk captures all the attention, industry is leading the country's formal private job losses, with nearly 90,000 positions lost since November 2023 according to a Techint report —more than a third of all formal private-sector jobs lost. This is happening at the same time as a financial macro picture that looks increasingly solid in terms of fiscal surplus and disinflation, a combination likely to regain centrality in the political debate ahead of 2027.

4. Signals to Watch — Week of August 24–28

SIGNALS TO WATCH

Jackson Hole Symposium

The gap between what the Treasury is doing (buybacks to lower long-end yields) and what the Fed is signaling (a rate hike still on the table) will be the central signal to watch. A more conciliatory or more hawkish tone from Warsh in his speech could set the direction for gold, Bitcoin, and the dollar in the weeks ahead.

Continuation of the Argentine sovereign bond selloff

With thirteen consecutive sessions of declines and country risk at yearly highs, the central question is whether the correction finds a floor or whether the market keeps demanding more concrete signals of governability before stabilizing.

Evolution of the Israel-Iran ceasefire expiration

With Israel intensifying strikes on Lebanon and the ceasefire with Iran close to expiring, the regional escalation could add an additional geopolitical premium to oil if an extension or a new negotiating framework isn't reached.

BOJ's response to accelerating Japanese core inflation

With core inflation accelerating for a second consecutive month, the market is starting to price in an earlier Bank of Japan rate hike, which could reopen pressure on the yen carry trade that had reactivated this week.

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